

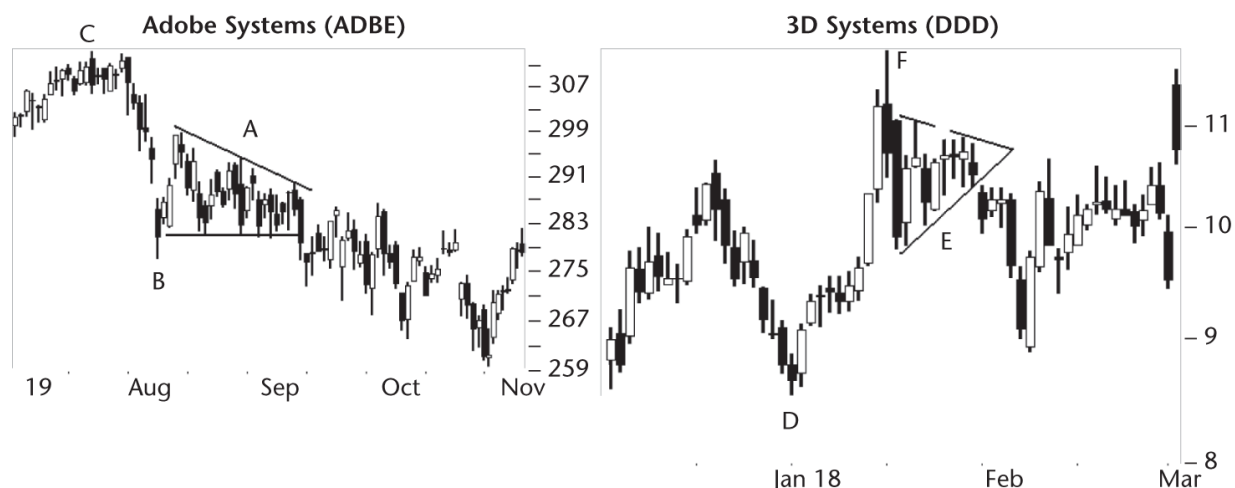


Figure G4 Undershoot (B) and overshoot (F) appear near the start of two chart patterns. Undershoot and overshoot are not included in the determination of where the trend starts.

Volatility stop A stop-loss order whose placement is determined by how volatile a stock is. Compute the high–low price range for each day for the most recent 22 days (the approximate number of trading days in a month). Take the average of those values and multiply by two. Subtract the result from the current *low* price to get the stop-loss value for a long-side trade. For short sales, add the result to the current *high* price to get the stop-loss value.

Table G1 shows the calculation for 3M stock. The High column shows the high price for the day, and the Low column shows the low price for the day. The Difference column shows the difference between the two columns. At the bottom of the table, I averaged the Difference column and found it was 3.65. Multiply this by two (7.30) and subtract it from the low price (153.92) to get the volatility stop location for a bullish trade (146.62). For a short sale, add 7.30 to the most recent high price (159.32) to get the stop location of 166.53.